ENTREPRENEURSHIP
Introduction & Perspective





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Teaching Philosophy

"The teacher is not there for the sake of the student; both teacher and student are there for the sake of learning"

Entrepreneurship Diary



ENTREPRENEURSHIP & ENTREPRENEURIAL MINDSET



Objectives

1. Entrepreneurship; perspective, definition and explanation
2. Explain why the activities of entrepreneurs are so important to the economies of their countries, and why entrepreneurship is an increasingly popular career choice.
3. Describe the process perspective on entrepreneurship, and list the major phases of this process.
4. Explain why entrepreneurship can be viewed as arising out of the intersection of people and opportunities.
5. Entrepreneurship in Pakistan

ENTREPRENEURSHIP; Perspective

The word entrepreneurship comes from the 17th century French word “entreprendre” which means ‘under taker’. The undertaker undertook the risk of a profit or loss in an enterprise.

The French, British and Austrian economists of the 18th and 19th century considered entrepreneurs as “change agents” who led the economies towards progress

ENTREPRENEURSHIP; DEFINITION

Entrepreneurship is the ***process*** **of** ***creating something new*** **with value** by devoting the necessary time and effort; assuming the accompanying financial, psychic and social ***risks and uncertainties***; and assuming the resulting rewards of monetary and personal satisfaction.

- Keywords being explained in the class.



ENTREPRENEURSHIP; DEFINITION

Entrepreneurship seeks to understand how *opportunities* to ***create something new*** *arise* and are *discovered* or created by *specific persons* who then **use various means to *exploit*** *or develop* them, thus producing a wide range of *effects*.

(Shane & Venkataraman)

Entrepreneurship as defined, essentially consists in doing things that are not generally done in the ordinary course of business routine.

ENTREPRENEURSHIP; DEFINITION

KEY WORDS:

- Creation process
- Innovation
- Opportunities
- Creating something new
- Risk-taking




RESEARCH
MONEY
TEAMWORK
INNOVATION
CUSTOMER
TECHNOLOGY
MARKETING
GEAR
STRATEGY
UP
CERTIFICATION

Innovation









?

UNDERSTANDING ENTREPRENEURSHIP

- An entrepreneur is a person who is willing to put his/her career and financial security on the line and take risks in the name of an idea, spending time as well as capital on an uncertain venture.
- Entrepreneurship is thus being taken as a process of *discovering, evaluating* and *exploiting* opportunities.

Is it for money or Becoming master of one's own destiny?





Being first one … ?







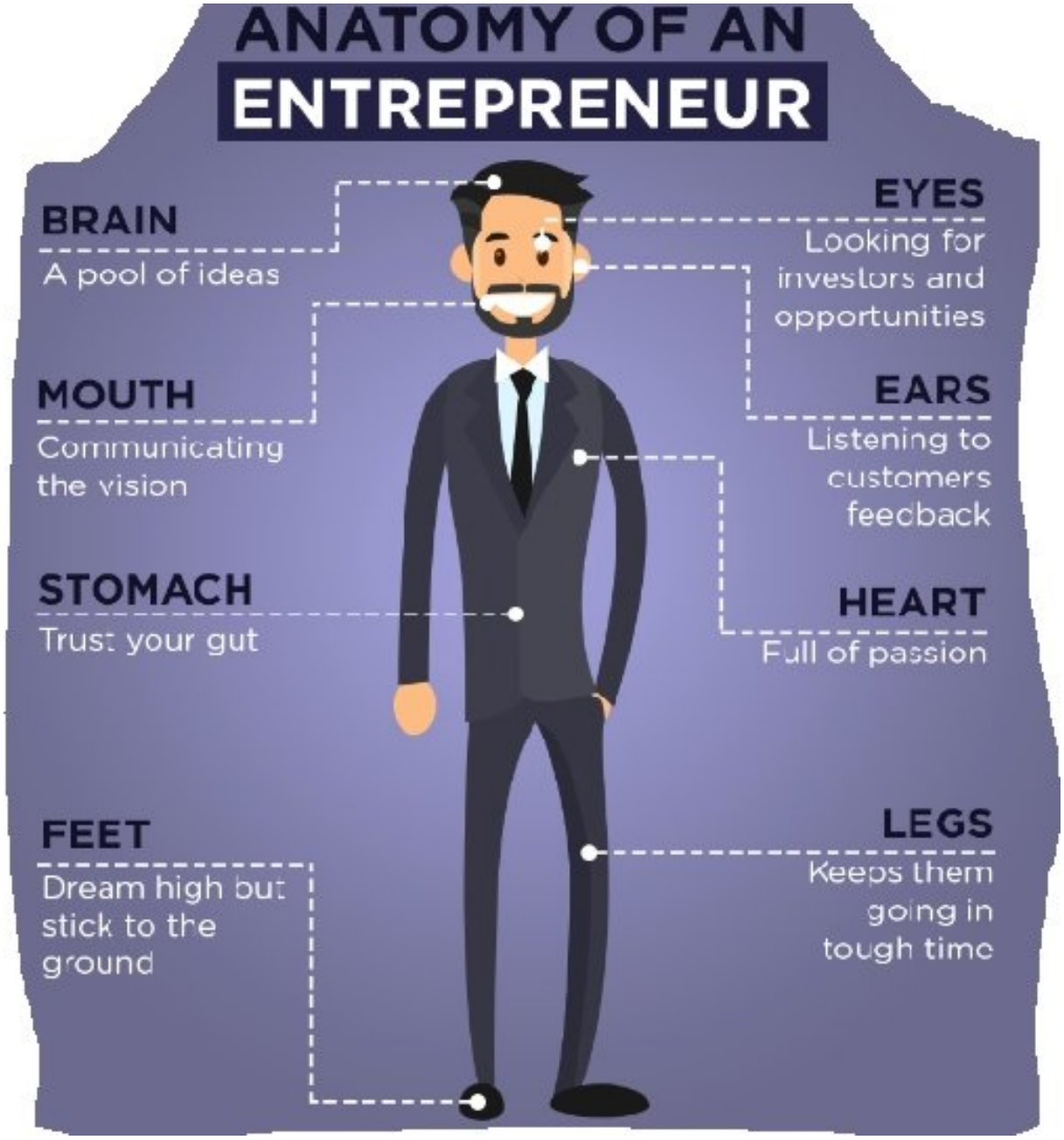











ANATOMY OF AN
ENTREPRENEUR
BRAIN
A pool of ideas
MOUTH
Communicating the vision
STOMACH
Trust your gut
FEET
Dream high but stick to the ground
EYES
Looking for investors and opportunities
EARS
Listening to customers feedback
HEART
Full of passion
LEGS
Keeps them going in tough time

Characteristics of Entrepreneurs

Renowned psychologist *David McClelland* characterized high achievers/entrepreneurs as possessing these traits:

- Desire for responsibility
- Preference for moderate risk
- Confidence in their ability to succeed
- Desire for immediate feedback
- High level of energy
- Future orientation
- Skilled at organizing
- Value achievement over money



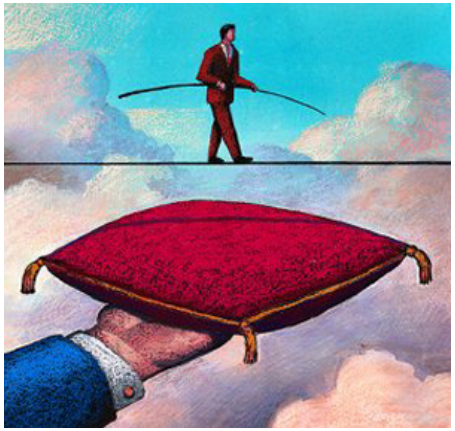
Benefits of ENTREPRENEURSHIP



The opportunity to:

- ✔ create your own destiny
- ✔ make a difference
- ✔ reach your full potential
- ✔ reap unlimited profits
- ✔ contribute to society and be recognized for your efforts
- ✔ do what you enjoy and have fun at it

Drawbacks of ENTREPRENEURSHIP



- Uncertainty of income
- Risk of losing your entire investment
- Long hours and hard work
- Lower quality of life until the business gets established
- High levels of stress
- Complete responsibility
- Discouragement



Feeding the Entrepreneurial Fire

- ✔ Islamic Perspective
- ✔ Entrepreneurs as heroes
- ✔ Entrepreneurial education
- ✔ Demographic and economic factors
- ✔ Technological advancements
- ✔ Independent lifestyles
- ✔ E-Commerce
- ✔ International opportunities



Innovation

- Creativity
- Innovation

Innovation = Creativity x Commercialization

= 1 x 0

= 1 x 1

The Ten Deadly Mistakes of Entrepreneurship

Studies have indicated that there are common reasons for new business ventures to fail:



1. Management mistakes
2. Lack of experience
3. Poor financial control
4. Weak marketing efforts
5. Failure to develop a strategic plan
6. Uncontrolled growth
7. Poor location
8. Improper inventory control
9. Incorrect pricing
10. Inability to make the “entrepreneurial transition”



How to Avoid the Pitfalls

The studies have indicated that entrepreneurs can ***increase*** their chances for success if they:

1. Know their business in depth.
2. Develop a solid business plan in writing.
3. Manage financial resources.
4. Understand financial statements.
5. Learn to manage people effectively.
6. Keep in tune with who they are.



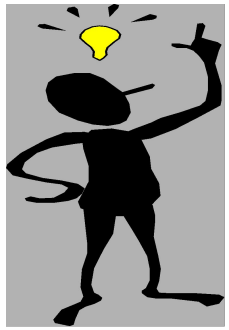
Myths About Entrepreneurship

1. Entrepreneurs are born, not created

Peter Drucker : “It has nothing to do with genes; like any other field, it can be learned.”

2. Entrepreneurs are always Inventors

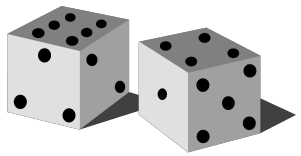
Successful entrepreneurship takes only a great idea.



3. Entrepreneurs are Doers, not thinkers.

Business plan

4. Entrepreneurship is a risky gamble



Myths About Entrepreneurship

5. Entrepreneurial venture and small businesses are identical.



6. Entrepreneurship is all about money.

We have so many ‘angel investors’ and venture capitalist’ out there.



Myths About Entrepreneurship

7. Entrepreneurs are Academic and Social misfit
8. Entrepreneurship is all about luck.

   - > Passion –> Energetic – >Vision

   Internal locus of control ?

9. Entrepreneurs must fit the profile
10. Most Entrepreneurial initiatives fail.

Risk Diversification





ASIAN HERITAGE SHOP









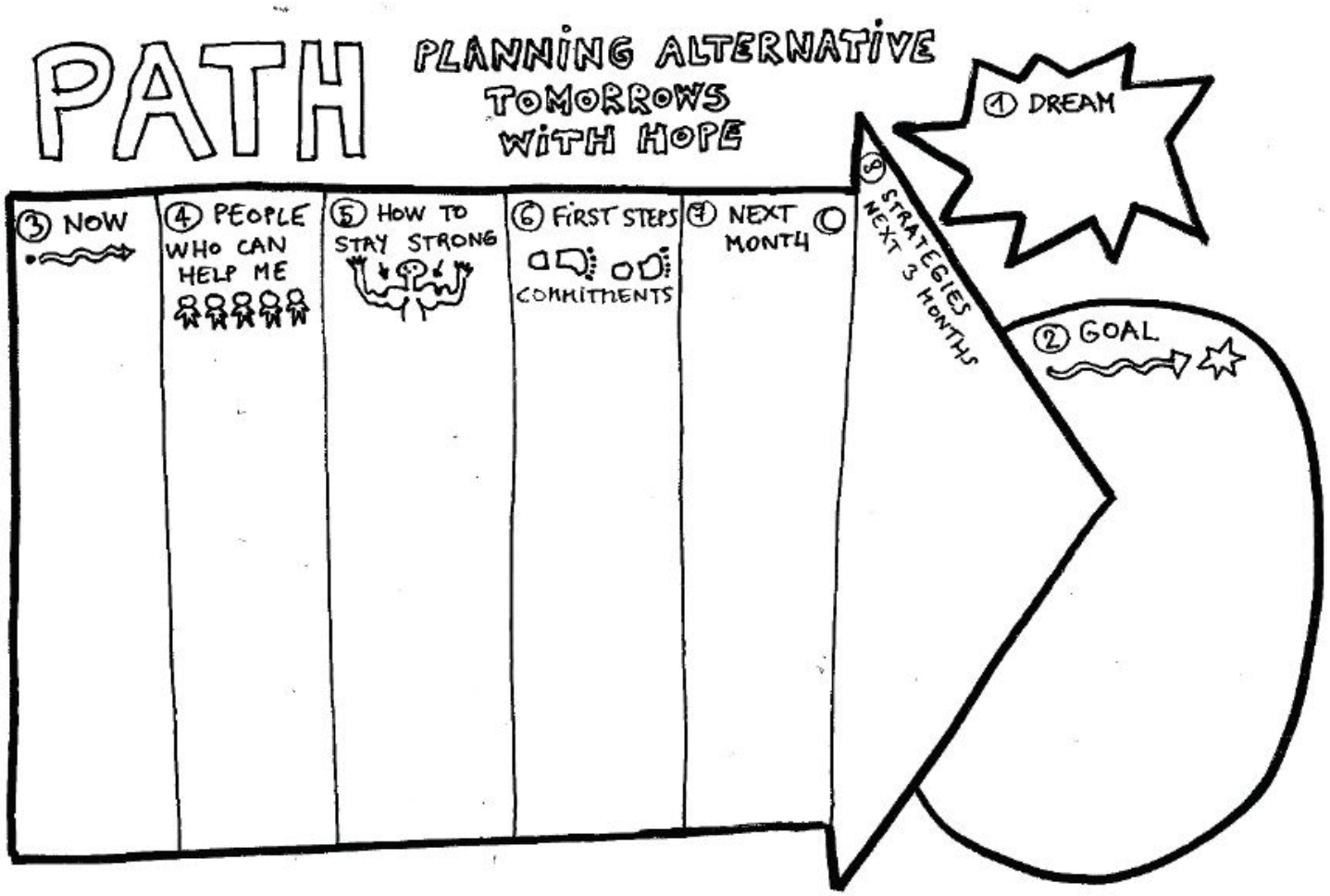
Iqbal & Entrepreneurship



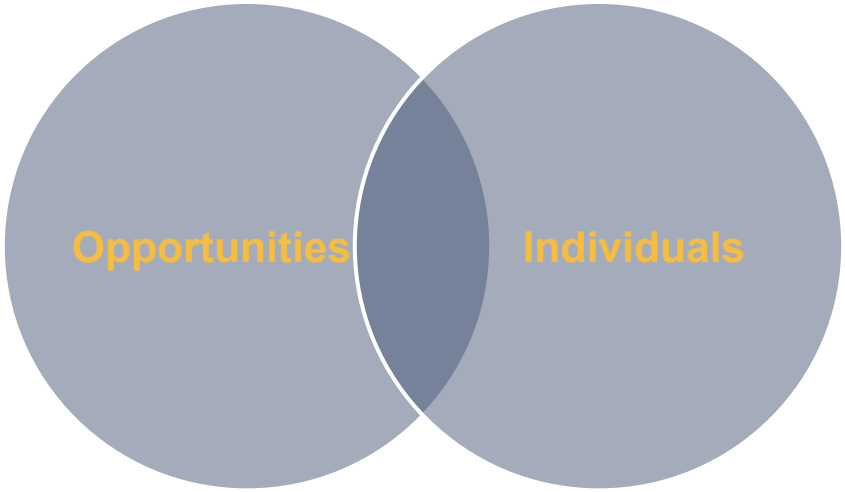
خودی کو کر بلند اتنا کہ ہر تقدیر سے پہلے
خدا بندے سے خود پوچھے بتا تیری رضا کیا ہے

پرواز ہے دونوں کی اسی ایک فضا میں
کرگس کا جہاں اور ہے شاہیں کا جہاں اور

Exercise


PATH
PLANNING ALTERNATIVE TOMORROWS WITH HOPE
① DREAM
② GOAL
③ NOW
④ PEOPLE WHO CAN HELP ME
⑤ HOW TO STAY STRONG
⑥ FIRST STEPS
COMMITMENTS
⑦ NEXT MONTH
⑧ STRATEGIES NEXT 3 MONTHS

Why are some successful?



In entrepreneurship, as in any other profession, luck is where preparation and opportunity meet.

Problem Opportunity

> "When written in Chinese the word *crisis* is composed of two characters. One represents danger and the other represents opportunity."
> --John F. Kennedy, 1959

Differences Between Small Businesses and Entrepreneurial Ventures

Small Business

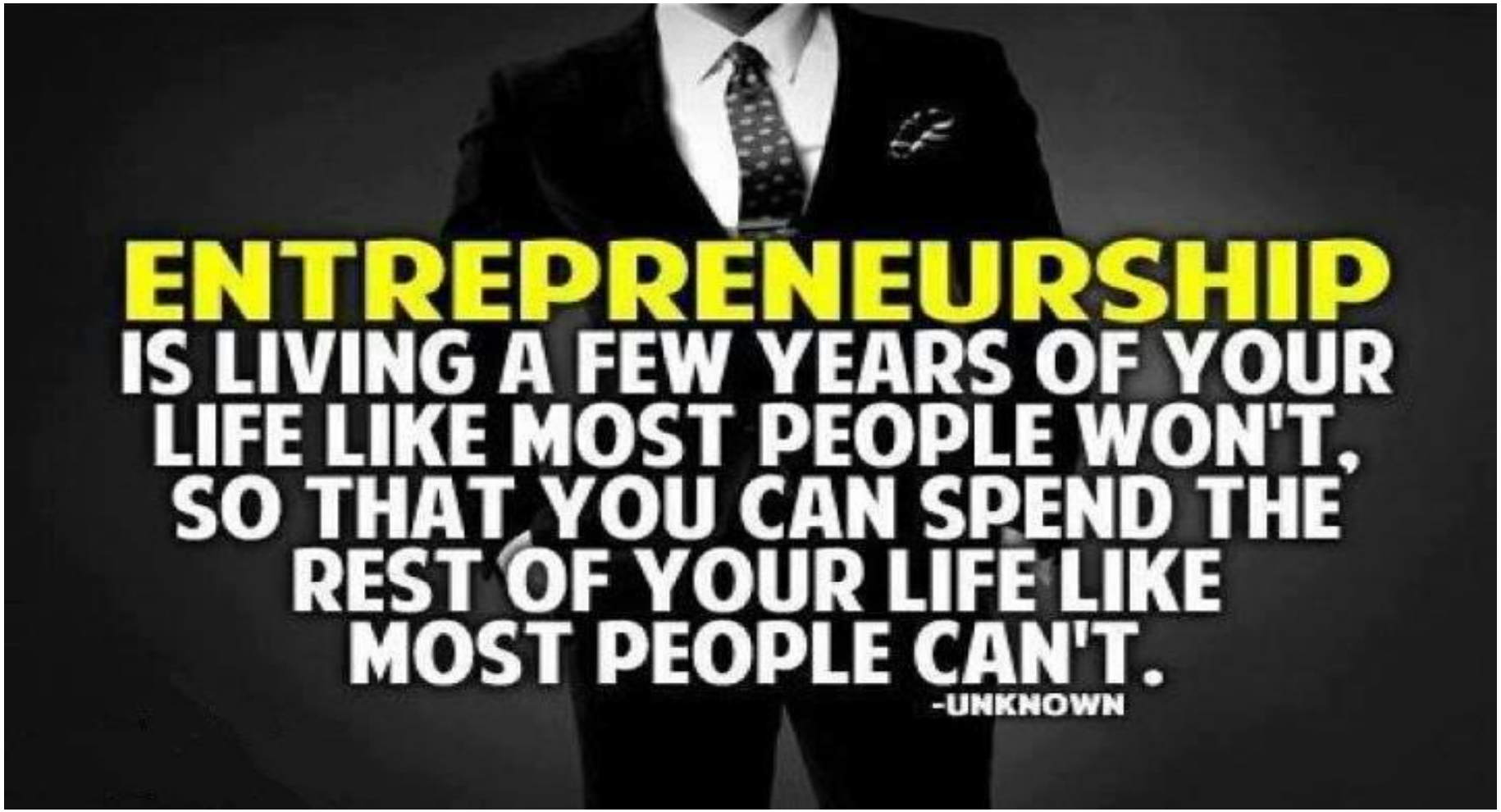
- Goal is Profit (not necessarily growth)
- Status Quo
- Independently owned, operated, and financed
- Doesn't emphasize new or innovative practices

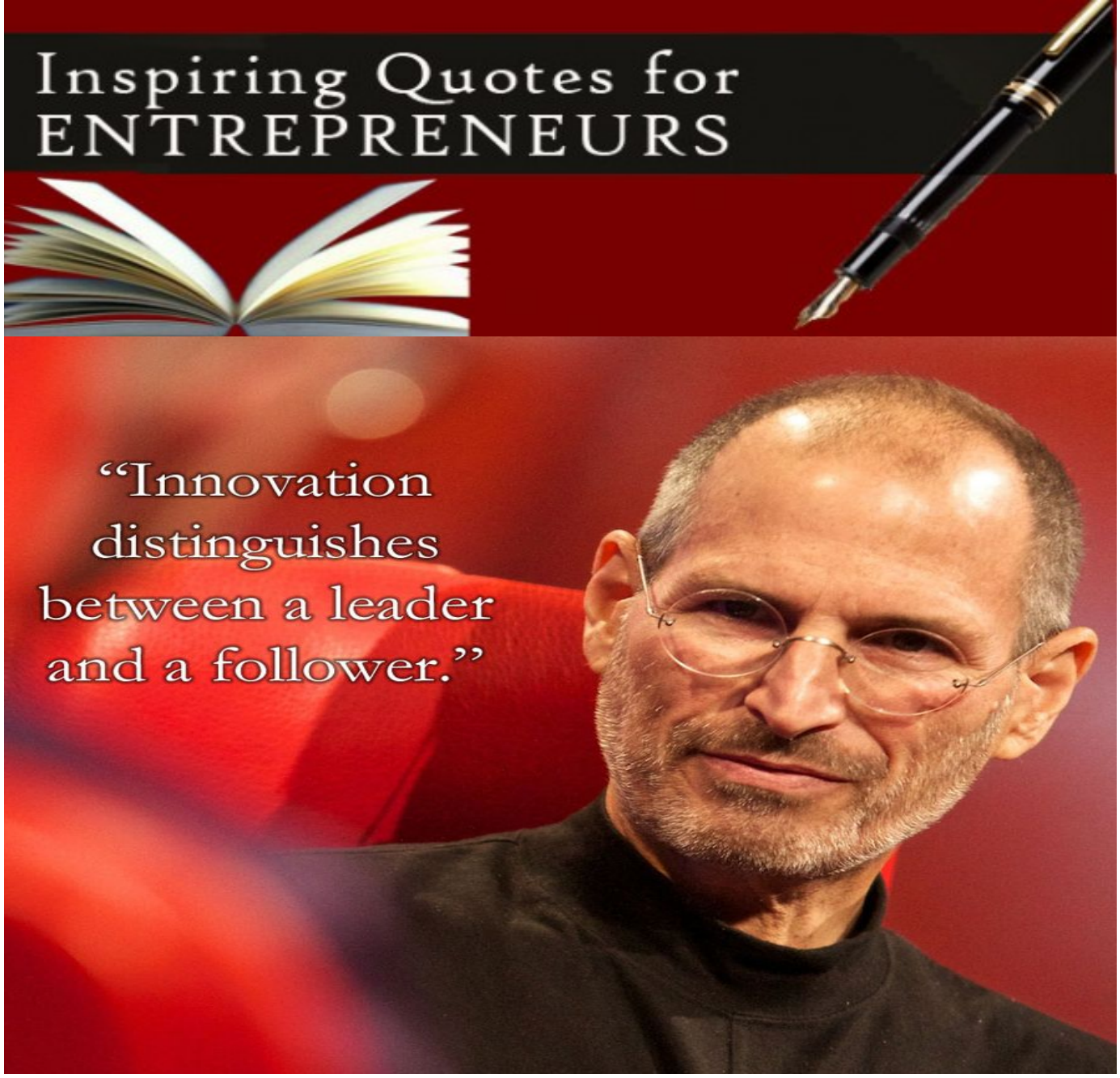
Entrepreneurial Venture

- Goals Growth & profit
- Innovative practices
- Seeks out new opportunities
- Willingness to take risks

Browse SMEDA's webpage for more info on 'small businesses'

Few Entrepreneurial quotes:




Inspiring Quotes for
ENTREPRENEURS
"Innovation distinguishes between a leader and a follower."



ISLAMIC PERSPECTIVE

- ✔ Entrepreneurship is an integral parts of Islamic religion
- ✔ The desiring characteristics of an entrepreneur are the ones being endorsed by Islamic religion; Entrepreneurial Ethics based on exemplary conducts of Prophet Muhammad (PBUH).
- ✔ The Muslim entrepreneurs are 'khalifah' and have the responsibilities to develop prosperity and sees business as part of 'ibadah' or good deed.
- ✔ *Prophet Muhammad (PBUH) expounded that 9 out 10 sources of sustenance are through business.*



Development of Entrepreneurship in Pakistan

a) The Big Push for industry

Government policy was never neutral and favored industrialization through out (Stephen 1969 & Hussain 1999)

b) The Neglect of the "Small"

- Small scale manufacturing sector developed in the context of a difficult / biased industrialization process
- Reality: Informal and Small scale sector dominate our lives.
- Small scale sector is the breeding ground for innovation but continues to attract little research

c) Agriculture and the Elite bias



FOCUS GROUP DISCUSSIONS

Held with businessmen at

- Lahore
- Sargodha
- Sialkot
- Gujranwala

Two interesting themes emerged from the discussions:



1. Absence of 'Innovation'

- Most of the businessmen seem to be involved in inherited business.
- Most of the businesses were 'imitation.'

2. Business is not Dynamic

- Small businesses seldom seem to even develop across cities leave alone grow into international conglomerates
- WHY?
- Innovative entrepreneurship and dynamic markets which allow businesses to grow are a prerequisite.



Conclusion

Pakistan has strong potential to be an entrepreneurial nation, there are certain problems that prevent it from being so:

The first is the entrepreneurs' effort to become wealthy overnight, without having to move up the ladder gradually. This overconfidence and lack of understanding for proper business techniques causes the demise of many entrepreneurial ventures.

The second issue that is preventing entrepreneurial growth in Pakistan is that the women are not given the opportunity to start a venture and nurture it into a successful business. Women are looked as the "food-makers" rather than the "food-earners."



FOUNDED BY QUAID-I-AZAM MOHAMMAD ALI JINNAH

DAWN

Pg. 06
OPINION

Thursday 11th April 2013 ; Jumadi-ul-Awwal 29, 1434

Unemployment soars to six per cent

OUR country is going through the toughest of times. The economy has hit rock bottom. The Labour Force Survey 2011 shows that unemployment soared to six per cent from 5.60 per cent a year earlier.

History has proven that with each downturn in the economy, it is only persistence and entrepreneurial drive that brings us back.

Entrepreneurship has made tremendous contribution in accelerating the socio-economic development of developing countries. But in Pakistan, we see there is a lack of entrepreneurial spirit, while change, critical thinking, creativity and innovation are not encouraged by educational system. Similarly, the educational system does not encourage entrepreneurship.

The notion of starting a business is not deeply entrenched in the local culture.

Meanwhile, appropriate efforts are not being made in inculcating the entrepreneurial passion among pupils. Thus we observe widespread unemployment. There are way too many job seekers than job creators.

There is dire need of spreading entrepreneurial culture. This is perhaps the only way out of this state of depression and shrinking job market.

Significant student counselling must be provided in this regard to enhance potential entrepreneurs. The forthcoming government must support small medium enterprises (SMEs) and enhance the roles of relevant agencies, SMEDA, chamber of commerce and the likes.

AMIR IKRAM
Lahore



Recommendations

- If entrepreneurship is to develop, deep government reform is needed which encourages innovation and fosters enterprises, specifically SMEs.
- Government needs to take drastic steps to make doing business a relaxed and hassle-free job. Considering the regional scenario, doing business in Pakistan is difficult, inflated and inefficient. As per the World Bank Doing Business Report 2012, Pakistan's ranking has gone from bad to worse; it moved from 96th position in 2011 to 105th position in 2012 (Bashir, 2011). Thus the government should come up with a policy that ensures interruption-free energy supplies.

Start-up ?

A startup is a temporary organization designed to search for a repeatable and scaleable business model (under extreme uncertainty)

Steve Blank, THE STARTUP OWNES MANUAL